

smaller percentage of it is for assets installed years ago at a fraction of today's costs.

It would be repetitious to go into detail concerning the cases where retaining earnings for building new plants and launching new products has proven of spectacular advantage to investors. However, consideration of how much one type of investor benefits in relation to another is worthy of careful consideration for two reasons. It is a matter about which there is always misunderstanding throughout the financial community. It is also a matter the proper understanding of which provides an easy key to evaluating the real significance of dividends.

Let us examine these misconceptions about who benefits most from dividends by taking a fictitious example. The well-managed XYZ Corporation has had a steady growth in its earnings over the last several years. The dividend rate has remained the same. Consequently, whereas four years ago it took 50 per cent of earnings to pay the dividend, so much additional earning power has developed in these four years that paying the same dividend now requires only 25 per cent of this year's earnings. Some directors want to raise the dividend. Others point out that never before has the corporation had so many attractive places to invest their retained earnings. They further point out that only by maintaining rather than raising the rate will it be possible to exploit all the attractive opportunities available. Only in this way can the maximum growth be attained. At this point a lively discussion breaks out as to what course to follow.

Someone on this fictitious board of directors is then sure to state one of the financial community's most common half-truths about dividends. This is that if the XYZ Corporation does not raise its dividend, it will be favoring its large stockholders at the expense of its small ones. The theory behind this is that the big stockholder is presumably in the higher bracket. After paying taxes, the big stockholder can retain a much smaller percentage of his dividends than the small stockholder. Therefore he does not want the increased dividend, whereas the small stockholder does want it.

Actually, whether it is more to the interest of any individual XYZ Corporation stockholder to have the dividend raised or to have more funds ploughed back into the growth depends upon something quite different from the size of his income. It depends upon whether or not each stockholder is